

the cost of developing the airport has more than doubled, the completion of the airport on time is what the government considers a great achievement. Even chief minister Y.S. Rajasekhara Reddy echoes the sentiments. "Completing the airport on time is a momentous occasion for all of us," he said. About this achievement, G. Mallikarjuna Rao, chairman of the GMR group, said, "Our meticulous planning gave us the ability to scale up our operations based on traffic estimates and growing passenger capacity at the existing airport at Begumpet."

In India, airports derive their revenues mostly from aeronautical streams. Only 30 per cent comes from non-aeronautical activities while international trends are just the opposite. It was to buck this trend that the Government decided to get into the privatisation mode. Aeronautical revenues depend upon passenger traffic and tariffs, which are largely beyond an airport operator's direct control. However, by providing quality services like museums, good eating joints and other basic facilities, an operator can increase the brand value of his airport along with the revenue collection.

This is precisely what the consortium is planning to do. Rao is planning to transform the airport gateway into an airport city. GHIAL has already signed up Italy-based travel, dining and shopping company, HMS Host to set up and operate the food and beverage outlets at the airport. It has also entered into an agreement with Plaza Premium Lounge of Hong Kong to maintain and manage the lounges here. The airport will also have two hotels with world-class conferencing facilities in its vicinity. The Accor group is slated to open a 308-room business class Novotel hotel on the airport campus itself.

To promote aeronautical activities, GHIAL has persuaded Sabena Flight Academy of Belgium to invest Rs 480 crore over the next three years for establishing an aviation academy to train pilots, cabin crew, engine engineers, technicians and aviation consultants at the airport itself. It has also signed Air-India and Lufthansa



TAKING WING: The new terminal (above); and the swank arrival hall



GHIAL is planning to open hotels, lounges, SEZs and even a golf course to boost revenue from non-aviation streams.

Technik to create maintenance, repair and overhaul facilities for its aircraft. Post opening, GIL, the holding company of RGIA, will invest about Rs 1,500 crore to develop a multi-product special economic zone (SEZ) with focus on avionics, aviation components, aircraft maintenance and consumer electronics within the sprawling 5,500-acre airport area. Plans are also on the anvil to develop an airport village to provide a unique experience to travellers. Golf legend Greg Norman has approached the company to build a nine-hole course.

To connect the airport, which lies 22 km south-west of the city, the administration is planning to construct an 11-km-long expressway to be named after former prime minister P.V. Narasimha Rao along with an eight-lane, 162-km-long Outer Ring Road, envisaging a growth corridor covering about 80,000 acres encircling Hyderabad. But this is taking longer than planned and may not be ready

before the year-end. A Metro Rail system is also on the cards but that will take a couple of years.

The Hyderabad Urban Development Authority has also created an exclusive Hyderabad airport development area around the new airport, spread over 458 sq km, for better planned development where areas have been marked for various kinds of activities. It will cater not only to RGIA but will also be promoted as a growth centre for the Hyderabad metropolitan area. Sector-type residential townships will come up. With the upcoming semi-conductor industry niche called Fab City, a gem and jewellery park, an electronic hardware park, IT companies and aviation-related industries coming up in the area, GHIAL will find the prospects for growth excellent. And so will perhaps the travellers who will find that there is more to Hyderabad than just biryani, pearls and information technology. ■